

M/s Suresh Furnace Pvt. Ltd. v. Paschimanchal Vidyut Vitran Nigam Ltd.

High Court of Judicature at Allahabad · Division Bench · 17 May 2023 · 2023:AHC:107103-DB · Writ-C No. 25785 of 2011 · **Writ dismissed in default; interim order vacated.**

HEADNOTE

Challenge to additional security under s.47 of the Electricity Act, 2003 read with Supply Code cl. 4.20 was kept pending on affidavits with interim protection on non-cash security. In 2023 the writ was dismissed in default and the interim order vacated, without deciding the prepaid-meter objection.

FACTUAL SUMMARY

M/s Suresh Furnace Pvt. Ltd. challenged PVVNL's demand for additional security, arguing that prepaid metering would obviate it; the licensee said no prepaid meter existed in Uttar Pradesh. On 4 May 2011 the Court treated the dispute as governed by s.47 of the Electricity Act, 2003 read with Supply Code cl. 4.20, called for a counter-affidavit, and continued an interim order subject to non-cash, non-bank-guarantee security. On 17 May 2023 the writ was dismissed in default and the interim order vacated.

HOLDING-UNITS

INTERPLAY · EA2003::47

additional security

HOLDING

A 2011 Division Bench framed additional-security litigation as requiring s.47 of the Electricity Act, 2003 to be read with cl. 4.20 of the U.P. Electricity Supply Code, 2005, called for affidavits, and continued interim protection subject to security other than cash or bank guarantee. The consumer's prepaid-scheme argument was not decided. In 2023, none appearing for the petitioner, the writ was dismissed in default and the interim order vacated. ¶ 1

PRINCIPLE TAGS

additional-security Challenge to additional security under s.47 of the Electricity Act, 2003 read with Supply Code cl. 4.20 was kept pending on affidavits with interim protection on non-cash security. In 2023 the writ was dismissed in default and the interim order vacated, without deciding the prepaid-meter objection. ¶ 1

security-deposit-is-advance-payment-not-debt Challenge to additional security under s.47 of the Electricity Act, 2003 read with Supply Code cl. 4.20 was kept pending on affidavits with interim protection on non-cash security. In 2023 the writ was dismissed in default and the interim order vacated, without deciding the prepaid-meter objection. ¶ 1

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER ADDITIONAL SECURITY IS PAYABLE IF A PREPAID SCHEME IS PROVIDED, AND THE MERITS OF S.47 READ WITH SUPPLY CODE CL. 4.20

¶ 1

